INDIAN AUTOMOBILES • TWO-WHEELERS • INDUSTRY

Commons and Citadels

Indian two-wheeler makers have always played two different games at once: a permanent cost war on open ground no one can fence off, and created categories — citadels — that early builders raise and hold for decades. Electric is splitting the same way. But the new citadel walls look lower, and easier to storm.

RATING SUMMARY — COVERED TWO-WHEELER OEMs

Company	Rating	Which game it plays	The one line that matters
Bajaj Auto	Outperform	Contests the commons, holds citadel options	Electric #2 with a cash engine to fund the cost war, plus the clearest citadel optionality via Triumph and KTM.
TVS Motor	Market-Perform	Best in the commons	The best execution in the industry and the electric leader — but that quality is already in the price.
Eicher Motors	Market-Perform	Holds a citadel	The deepest brand moat in two-wheelers, over the one category electric cannot yet be called.
Hero MotoCorp	Market-Perform	Stuck in the commons	A real cost moat over shrinking ground, share leaking to Honda, and late and sub-scale in electric.

THE CLAIM — IN EIGHT LINES

∑ Indian two-wheeler competition has always been two games, not one. The commons — the mass commuter market — is a permanent cost war on open ground that no maker can fence off. The citadels — sports commuters, gearless scooters, leisure motorcycles — are created categories that early builders raise and then hold for a generation.

∑ The commons is won on cost at scale and distribution. Hero has led entry commuters for twenty-five years mainly on price and reach, not on the bike. A better product moves share here, but slowly and within the order — Honda took roughly fifteen years to reach a quarter of the market and is still not first. Product grinds the commons; on the evidence, it does not reset it.

∑ A citadel is not simply a premium segment. It is a category that served a need the market had left unmet, changed how customers behave, and then accumulated reinforcing advantages — resale, service, financing, community, brand — that make it costly to storm. By that test Pulsar, Activa and Royal Enfield are citadels. Splendor is not: it is Hero's weapon inside the commons, not a category of its own.

∑ That definition, not the word 'premium', is why 'easy to copy' does not rescue a challenger. Every one of these products was copied by well-funded rivals with comparable engineering. None of the categories was retaken, because the wall was never the bike — it was the ecosystem, and switching costs compound with every year and every unit sold.

∑ No powertrain change in forty years reset either game, because each was a sustaining change — a better version of the same thing, for the same buyers, through the same dealers. Electric is the first with genuinely

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disruptive features. Two years of evidence suggest it is proving sustaining for the commons and disruptive only at the citadels' edges — our reading, not yet a settled fact.

- The electric commons is likely to go to the incumbents. It will be won on cost and distribution, and battery economics are likely to become the dominant new cost lever — and cell scale rewards the deepest balance sheets and the incentives that flow to them. A start-up cannot easily win a cost war it must fund from its own pocket. This is our central inference, and we set out plainly what would overturn it.
- Premium electric scooters are a genuine citadel, and Ather has the strongest claim so far to have built one — connected, software-rich, with its own charging network and a community that survived the incumbents' arrival. But the walls appear to copy faster than in petrol, so the advantage likely accrues only to the earliest, cleanest builder. Ather is the lead candidate, not yet the proven holder; the rest are niches or acquisition targets.
- Premium electric motorcycles are the one call we will not yet make, because so much of the value is the character of the engine itself. Ratings: Bajaj Auto Outperform; TVS, Eicher and Hero MotoCorp Market-Perform.

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EXECUTIVE SUMMARY

To forecast the electric two-wheeler market, you first have to settle one question about the petrol market: was it a single contest, or several? Get that wrong and every forecast downstream inherits the mistake. Treat the market as one game and you will misread which weapons win, which advantages last, and which companies own their future. So how many games have Indian two-wheeler makers actually been playing?

Two, and keeping them apart is the whole of this note. One is a cost war in the mass commuter market — the commons — where millions of buyers want the cheapest reliable machine and little else, and where no maker can fence off a piece of ground and hold it. The other is category creation — the citadels — where a maker opens a category that did not exist, changes how customers behave, and then fortifies the position until it is expensive to take. The two games run on different rules, reward different weapons, and face different futures in electric.

The commons is won on cost at scale, delivered through distribution. Hero has led the entry segment for twenty-five years because scale, frugal engineering, supplier leverage and a service network that reaches small-town India cheaply give it a cost gap rivals cannot close without matching its volume — which they cannot do without first taking its share. That is a circular lock, and it is why a better product moves share only slowly here. Honda has ground from almost nothing to a quarter of the market on smoother, more durable engines, but it took some fifteen years and it still has not taken the top slot. In the commons the product grinds; it does not conquer. And no one escapes: no maker has built a defensible category inside it, because open ground cannot be enclosed.

The citadels are won differently — by creating a category and fortifying it. Here is the distinction that matters, and it is easy to get wrong: a citadel is not a premium price tag. It is a category that met an unmet need, created new customer behaviour, and then accumulated reinforcing advantages around itself. Every one of these bikes was easy to copy, and every one was copied. What could not be copied was the ecosystem that grew up around the creator — the resale value a buyer can count on, the mechanic who knows the machine, the financing desk at ease with it, the family that has always owned one, and now the community and the software. Those are switching costs, and they compound. That is why a follower with an equally good product still loses: it is selling a machine, while the creator is selling a category people have already organised their lives around.

Neither game has been reset by a change of technology. Two-stroke to four-stroke, one emission norm to the next, carburettor to injection — each was a sustaining change that built a better version of the same thing, for the same buyers, through the same dealers. The incumbents paid the bill and carried on; the weak were squeezed out. Electric is the first transition with genuinely disruptive features: a new core component, entrants who do not need the old network, and new switching costs. The question is whether it resets the two games or merely refills them.

Our answer, on the evidence so far, is that it refills them along the old lines. The commons is becoming a cost war again, won on the same terms — with one new twist. In electric, a large share of cost sits in the battery cell, and building cells rewards the deepest balance sheets. That points the commons back toward the incumbents, and two years of data are consistent with it: the subsidy-era pioneers who led on price and imports have collapsed, and the legacy makers have moved from roughly a third of the electric market to more than sixty per cent. We read this as structural rather than a subsidy artefact — but two years is not forty, and we say where we could be wrong.

The citadels are the more interesting question. A premium electric category is real, and Ather has the strongest claim to have built one — a connected scooter with its own charging network and a community that survived the incumbents' arrival. But the walls here appear to copy faster than in petrol, because software and features travel more easily than a twenty-five-year service reputation. So the advantage most likely accrues to the creator who moves early and executes cleanly; the rest become acquisition targets. Then there is the one category we will not

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yet call: premium leisure motorcycles, where much of what a buyer pays for is the character of the engine itself. Either electric never quite takes the segment as it stands, or someone builds a new kind of desirable object there. We flag it rather than pretend to resolve it.

We rate Bajaj Auto Outperform, and TVS, Eicher and Hero MotoCorp Market-Perform. The incumbents win the commons; a few creators hold the citadels; the premium-motorcycle question stays open. We hold this for the next several years. The most credible route to a different outcome runs through the battery — a genuine cost or technology break that lets a newcomer fund the cost war from someone else’s pocket. We set out exactly what would prove the framework wrong, because a framework that cannot be broken is not a framework; it is a belief.

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INVESTMENT CONCLUSION

Own the maker that contests the commons and holds a citadel. Discount the one stuck in the commons alone.

The map sorts the four names cleanly, and it should: if the framework is right, the ratings are not a separate judgement but the same judgement applied to companies. For each name, ask two questions. Does it win, or credibly fund, the commons cost war? And does it own a citadel electric cannot easily take? The answers do the rating.

Bajaj Auto — Outperform. Contests the commons; holds the citadel options.

Bajaj is number two in the electric commons with the Chetak, funded by an ICE, three-wheeler and export business that can carry electric losses for years — and it holds the clearest citadel optionality in the group through Triumph and KTM. It plays both games and can pay for both. Key reason: the deepest funded runway paired with real electric traction. Key risk: export cyclicality and a value-skewed mix. Horizon: high conviction over two to three years. It is also cheaper than TVS. We would be wrong to prefer it if it lost the #2 electric slot for several quarters, or the premium bets stalled.

TVS Motor — Market-Perform. The best in the commons, priced for it.

TVS is the best-run maker in India and the electric leader, and the commons is exactly the game its execution and distribution win. Market-Perform is not a criticism; the quality is in the price. Key risk: valuation leaves little room for disappointment. Horizon: we would turn constructive on any de-rating that leaves its electric leadership intact.

Eicher Motors (Royal Enfield) — Market-Perform. Holds the deepest citadel.

Eicher owns the deepest citadel in the industry and the best margins from it. Buy the moat. But its category is the one electric cannot yet be called: premium leisure motorcycles, where much of the value is the engine's character. The brand and community should survive a switch to electric; the desirability the engine supplied has to be re-created, and a credible premium-electric challenge is finally forming. Key risk: earning its electric future in the one category where the product is the point. Horizon: the citadel is safe for years; the electric question is a 2027-onward watch. The Flying Flea is the hedge to track.

Hero MotoCorp — Market-Perform. Stuck in the commons.

Hero's cost moat is genuine — but it holds only the commons, and that ground is draining as buyers move up-market. Honda is taking its executive-commuter share; in electric the cost equation is reset by the cell, where Hero inherits no edge; and it owns no citadel of its own. Its best premium and electric exposure may be its stake in Ather. Key risk to our caution: a genuine move up-market, or Vida reaching real scale. Horizon: we need evidence before upgrading.

The trade, in one line.

Own Bajaj — it contests the commons and holds a citadel. Respect TVS and wait for a better price. Hold Eicher for a moat you could not rebuild, while it earns its electric future. Require proof from Hero, which plays only the game that is getting harder.

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CHAPTER 1

Indian Two-Wheeler Competition Has Always Been Two Games, Not One

The mistake almost everyone makes is to treat this as one market with one set of winners. It is two, and they behave in opposite ways. There is a commons, and there are citadels, and the whole electric question turns on telling them apart.

The commons: the cost war.

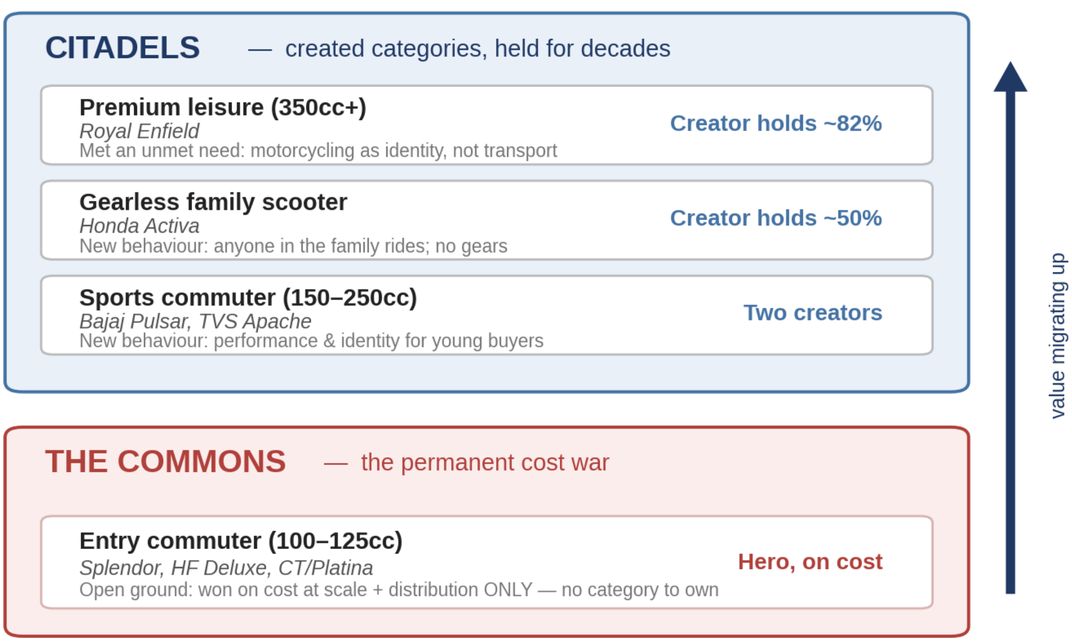
At the bottom sits the mass commuter market — the 100cc and 125cc bikes most Indians actually buy. Here the vehicle is an income-earning asset, the buyer wants the cheapest reliable option, and there is little to differentiate on. It is open ground: anyone can enter, and no one can fence off a stretch and hold it. So the contest is permanent, and it is won on cost at scale and the distribution to sell and service cheaply. No one escapes it, and no one has built a defensible category inside it. That is what makes it a commons rather than a citadel — and it always has been one.

The citadels: created categories.

Above the commons sit the categories somebody built. Sports commuting, which Bajaj created with the Pulsar. The gearless family scooter, which Honda created with the Activa. Leisure motorcycling, which Royal Enfield created almost from nothing. Each is a citadel: a category with no direct competitor at its birth, opened by one maker who then held it for fifteen to twenty-five years. But note the test we are applying, because we will hold every example to it. A citadel is not just an expensive bike. It is a category that met an unmet need, changed customer behaviour, and grew reinforcing advantages that make it costly to take. Value has migrated steadily upward into these categories, which is why they matter out of proportion to their volume.

Exhibit 1.

Two games, not one: a permanent cost war on open ground that only scale wins, and created categories — citadels — that early movers raise and hold for decades. Value is migrating up.



Source: Bernstein framework; segment leadership from SIAM/FADA and company disclosures. Shares indicative. See data note.

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Why the distinction decides everything.

The two games are won by different weapons, resist different attacks, and face different futures in electric. The commons goes to whoever is cheapest at scale; the citadels go to whoever creates and fortifies. Confuse them — assume a great product wins the commons, or that low cost wins a citadel — and you will pick the wrong companies. The next chapters take each game in turn, then ask whether electric changes the rules.

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CHAPTER 2

The Commons: A Permanent Cost War That Only Scale Wins

The mass commuter market is the hardest, least glamorous and most important game, because it is most of the volume. It has one rule: be the cheapest reliable bike, made at a scale no one can match. The interesting question is not that scale wins — it is why product does not.

Hero has led it for twenty-five years — mainly on cost, not the bike.

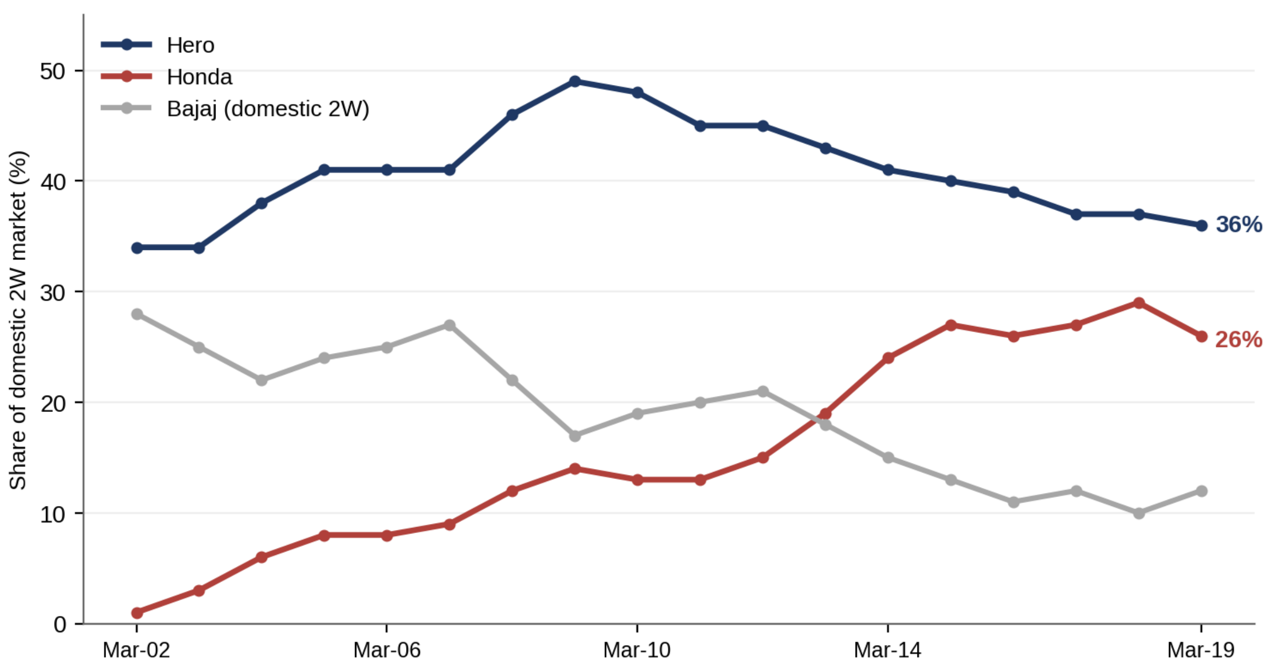
Hero leads the entry segment and has for a generation. That lead rests on several reinforcing things, not one — scale that spreads fixed costs, frugal engineering, supplier leverage from huge volumes, a dealer and service network that reaches small towns others find uneconomic, and financing and brand trust built over decades. Cost at scale is the largest of these, but it is not the only one, and precision matters: Hero's moat is a system, and its centre of gravity is cost and reach. What it is not is a better machine. In the commons, the product is table stakes; cost and reach are the game.

A better product moves share — but slowly, and within the order.

This is where people over-claim in both directions. A better product does win share here: Honda has climbed from about one per cent of the market in 2002 to roughly a quarter by 2019 on smoother, more durable commuter engines. But look at the shape of it. It took some fifteen years. It moved share largely from one incumbent to another, and partly from Bajaj's deliberate retreat up-market. And it still has not taken the top slot. Product grinds; it does not conquer. No newcomer has broken into this game on product alone — not because product is worthless, but because it is not the main thing the buyer is choosing, and because the incumbent's cost-and-reach advantage compounds faster than a product edge can erode it.

Exhibit 2.

Even the best product only grinds in the commons: Honda climbed from 1% to a quarter of the market over roughly seventeen years and still has not taken #1. Share moves within the order; the order holds.



Source: SIAM, Bernstein analysis (Garre, 2019). Domestic 2W market share, to FY19. Bajaj's decline reflects its deliberate move up-market. See data note.

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The implication carries straight into electric. If the commons is won on cost and reach, and product only grinds, then the electric commons will favour whoever can be cheapest at scale — which, as Chapter 5 shows, is turning out to be the incumbents.

> ***Where we could be wrong.*** *Our reading of the commons would be wrong if a newcomer ever took clear leadership of the entry segment on product or brand alone, without a cost-and-distribution advantage. In forty years it has not happened. We would treat the first genuine instance as a serious warning, not a curiosity.*

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CHAPTER 3

The Citadels: Create a Category, Then Make It Costly to Take

If the commons is where you cannot escape, the citadels are where you go to win. The pattern is consistent: a maker opens a category that did not exist, and then holds it for a generation. Understanding why they hold it is the key to the whole electric forecast — so it is worth being precise about what a citadel is, and what it is not.

What counts as a citadel — and what does not.

A citadel meets three tests. It serves a need the market had left unmet. It creates new customer behaviour, not just a new price point. And it accumulates reinforcing advantages — resale, service familiarity, financing, community, brand — that make the position costly to attack. Apply the test honestly and some obvious candidates fail it. The Splendor is the clearest: it is a magnificent product and the best-selling motorcycle in history, but it did not open a category or change behaviour — it won the existing commuter commons on cost and reach. Splendor is Hero’s weapon in the commons, not a citadel. Pulsar, Activa and Royal Enfield pass the test; Splendor does not, and saying so sharpens the framework rather than weakening it.

Created from strength or from weakness — but always created.

Sometimes the creator was escaping a fight it could not win. Bajaj, losing the geared-scooter market to Honda’s technology, walked away and built a category it could own — sports commuting, with the Pulsar, aimed at young buyers who wanted performance and identity, not just transport. Sometimes it was a near-dead company that found uncontested ground: Royal Enfield, making a few thousand unreliable bikes a month, chose not to fight the commuter makers at all and defined leisure motorcycling instead. Honda’s Activa created the gearless family scooter — a machine anyone in the family could ride, no gears, no fuss — after the geared scooter had collapsed. Different starting points, same move: open a category with no direct competitor, then fortify it.

The product is the ticket; the ecosystem is the wall.

Here is the insight that ties the note together, and the historical record is unusually clean on it. Every one of these products was easy to copy, and every one was copied — by well-funded rivals with comparable engineering. None of the categories was retaken. Why? Take them one at a time, because the mechanism differs slightly each time, and that difference is the evidence.

Pulsar held because Bajaj never stopped moving: a decade of variants, a racing identity, and a service-and-resale base that made the Pulsar the safe aspirational choice. Rivals matched the spec sheet; they did not displace the identity or the resale value.

Royal Enfield held — and this is the hardest case for any ‘easy to copy’ sceptic — against Triumph, Harley-Davidson, Honda and Jawa, all of whom launched credible, sometimes superior machines. It kept roughly four-fifths of its segment because the moat was never the bike. It was the brand, the community, the resale values, the accessible price for the badge, and the service network — an ecosystem a better product simply does not touch.

Activa held around half its category for two decades because reliability compounded into resale value, and resale value plus service reach made it the default family choice. Challengers with fine products — Jupiter, Access — took some share; none dislodged the default.

And the negative case proves the rule. Hero, the master of the commons, has never successfully built a citadel of its own. Karizma, Xtreme, the aborted premium projects, the Harley tie-up — the company that wins the cost war could not translate cost leadership into category creation, because the two games reward different capabilities. That failure is not a footnote; it is evidence that the two games are genuinely distinct.

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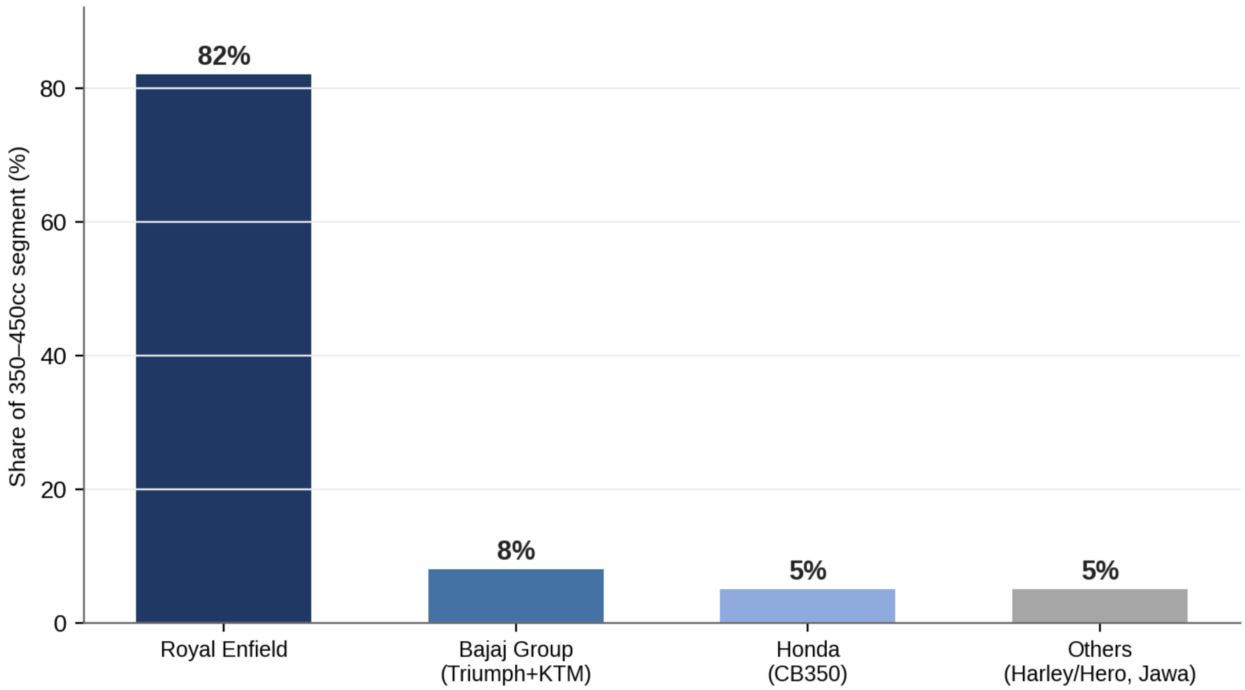
These are switching costs, and they compound with every year and every unit sold. A follower with an equally good product is selling a machine. The creator is selling a category people have organised their lives around. That is the fight the follower loses — and it is the fight electric will re-run, on terms we take up next.

Exhibit 3.

The citadel wall was never the bike: a decade of funded challengers — Triumph, Harley, Honda, Jawa — has barely dented Royal Enfield's category.



Source: industry registration data and company disclosures; segment shares indicative and move month to month. See data note.

Where we could be wrong. *The citadel idea would be in trouble if a well-funded challenger with a comparable product ever took a created category back on the merchandise alone. Triumph, Harley and Honda have spent a decade trying in Royal Enfield's category and hold single digits between them. If that changes quickly, the framework is weaker than we think.*

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CHAPTER 4

Neither Game Has Been Reset by Technology — Until, Perhaps, Now

History is a good guide here because Indian two-wheelers have already been through five technology transitions, and none reset either game. If electric is going to be different, we should be able to say exactly why the others were not.

Every past transition was sustaining, so the incumbents absorbed it.

Two-stroke to four-stroke, tightening emission norms to BS-VI, carburettor to fuel injection, the arrival of features and electronics — each built a better version of the same product, sold to the same buyers, through the same dealers, serviced by the same mechanics. That is the definition of a sustaining change, and a maker with a franchise simply pays for it and carries on. None reshuffled the field; each raised the cost of staying in and killed the weak. That is how the industry consolidated from a dozen serious players to about five, and it is why the joint-venture partners who owned only technology, not the customer — LML, Kinetic — did not survive their splits, while those who owned the customer — Hero, TVS, Bajaj — did.

Transition	Roughly when	Reset the games?	What decided it
2-stroke → 4-stroke	1990s–2005	No	The leader's efficiency edge widened; specialists faded
Emission norms (to BS-VI)	2000 → 2020	No	Cost of compliance favoured scale, squeezed the marginal
Carburettor → fuel injection	c. 2020	No	Incumbents absorbed it; no change in ranking
Features & electronics	2010s	No	Reinforced the citadel brand leaders
Electrification	2020–	At the edges only	Mass market sustaining; premium potentially disruptive

Electric is the first transition with disruptive features.

Electric is different in kind: a genuinely new core component in the cell, entrants who do not need the old network, and new switching costs in charging, software and subscriptions. That is what a disruptive change looks like, and it is why the first electric wave really did reset the field for a moment. But 'disruptive features' is not the same as 'disruptive outcome'. A transition can carry disruptive characteristics and still resolve in the incumbents' favour if they can acquire the new capability faster than the entrants can acquire distribution, brand and balance sheet. Whether the disruption reaches the whole market or only its edges is the question the rest of the note answers. Our reading is: only the edges — but we hold that as the most probable path, not a certainty, and Chapter 7 sets out the world in which we are wrong.

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CHAPTER 5

Electric So Far: The Old Pattern, Replayed at High Speed

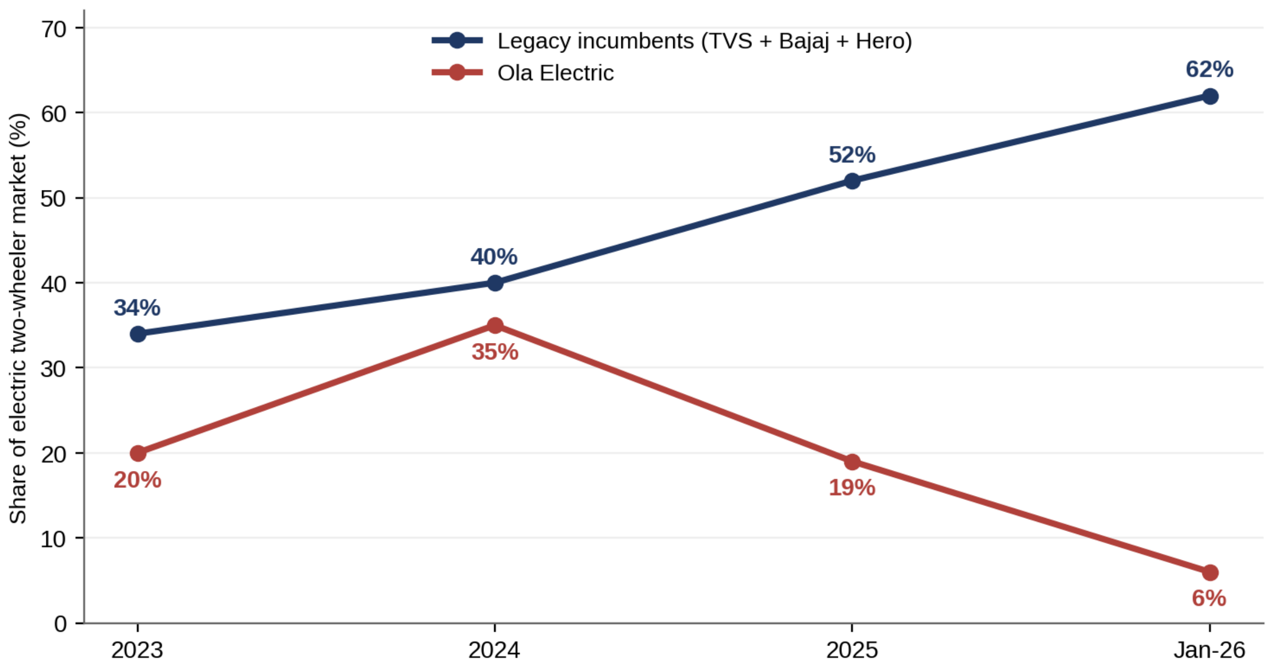
The electric market has compressed forty years of industry history into about five, and so far it has run true to type — a subsidy boom, a collapse, and now a consolidation. The commons, on the evidence to date, is going back to the incumbents.

The pioneers led on things that were never moats.

The first electric wave briefly held half the market and then largely collapsed. The earliest brands were built on imported kits, bought-in batteries and subsidy, and fell to almost nothing when local-content rules were enforced — they had no cost-at-scale, no distribution, no created category. Then Ola scaled faster than any two-wheeler maker in history on price and subsidy, and broke on more than one thing. Service was the proximate cause — where the vehicle is an income-earning asset the buyer cannot afford downtime, and Ola's thin service and spares network could not keep its bikes running. But it was not the only cause: quality complaints, over-rapid expansion, a direct-to-consumer model without a dealer safety net, and heavy cash burn on subsidy-dependent pricing all compounded. Ola has fallen from more than a third of the market to under six per cent. The lesson is not simply 'service'; it is that none of these pioneers led on anything durable.

Exhibit 4.

The commons returns to the incumbents: as the subsidy-era pioneer collapsed on service and cash burn, the legacy makers retook the market with the assets that win a cost war.



Source: Vahan registration data and industry estimates; figures indicative of trajectory and subject to monthly volatility. See data note.

The incumbents walked back in on the commons weapons.

The legacy makers were slow, then entered the mainstream wave with exactly what wins a cost war: thousands of dealers and service points, trusted brands, ICE profits to fund losses, and supply-chain depth. In about two years they moved from a third of the electric market to more than sixty per cent. Note what they did not win on — a better motor. Electric motors differentiate far less than engines did; the refinement that let Honda grind the petrol commons has a weaker electric analogue, because the motor is a more commoditised part than the four-stroke

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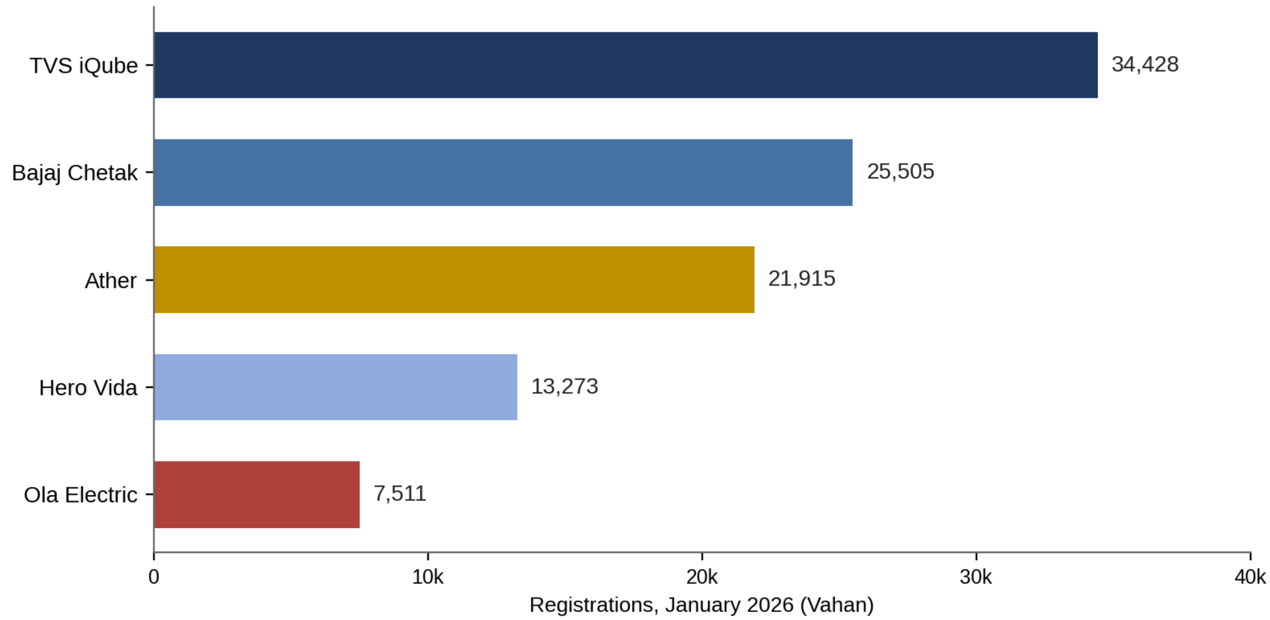
engine ever was. That does not make motors literally identical — control software, thermal management and drivetrain integration do differ — but the differences are narrower and travel faster, so the motor is a weak place to build a moat. The incumbents won the commons the way it is always won.

Exhibit 5.

One recent month, the commons restored: legacy OEMs hold the top of the table, with the one surviving citadel start-up, Ather, among them.



Source: Vahan registrations, January 2026; a single month, subject to volatility, used to show structure rather than fix precise share. See data note.

Where we could be wrong. *Two years is a short base, and part of this shift coincides with subsidy transition and the enforcement of local-content rules. We read the recovery as structural because it rests on assets — distribution, balance sheet, supply chain — that do not evaporate when subsidy does. But that is a judgement, and the post-subsidy months after March 2026 are the cleanest test of it.*

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CHAPTER 6

The Prediction, Game by Game

Now the payoff. If the market is two games, the forecast has to be made twice — once for each — plus an honest answer on the one category that fits neither yet. For each, we give the mechanism, the evidence, the implication, and what would prove us wrong.

The commons goes to the incumbents, and battery economics are likely to seal it.

The mass commuter market will be won in electric on the same terms as in petrol — cost at scale and distribution — with one new lever. A large share of an electric two-wheeler's cost sits in the battery cell, and cell manufacturing is punishingly capital-intensive, so it rewards the deepest balance sheets and the government cell incentives that flow to the same large players. The two-year incumbent recovery in Chapter 5 is consistent with exactly this, which is the evidence such as it is. The implication: a start-up cannot easily win a cost war it must fund from its own pocket, and the commons is the incumbents' to lose. We say 'likely' and 'dominant lever', not 'decides', on purpose — cell cost curves are moving fast and the localisation path is not settled. We would be wrong if a challenger built a structurally superior cell-cost position, through chemistry, a manufacturing edge, or a partnership the incumbents could not match; or if battery swapping decoupled vehicle price from battery cost and built its own lock-in. Both are live possibilities, not remote ones. They are simply not the base case.

The citadels are open — but the walls copy faster than they did in petrol.

A premium electric category is real, and Ather has the strongest claim to have built one — a connected, software-rich scooter with its own charging network and a loyal community, and the only ICE-era start-up to have survived the incumbents' arrival. But the wall is thinner than a petrol citadel's. In petrol, the ecosystem took decades to build and could not be rushed. In electric, a large part of the ecosystem is software, features and a charging network — things an incumbent with a cheque book can replicate far faster, plausibly in a couple of years rather than a couple of decades. The incumbents have already matched much of the feature set; what they have not yet matched is the brand and the community. So the citadels are winnable, but most likely only by the creator who moves early and executes cleanly — the head start and the brand are the wall, not the spec. Ather is the lead candidate to be electric's Royal Enfield; Ultraviolette and Tesseract are opening genuine niches; most other challengers will be acquired or fade.

We could be wrong here in either direction, and it is worth being explicit. If software, data and network effects prove far stickier than we expect — if owning the largest connected fleet compounds the way a service reputation once did — then the first mover's wall is higher than we think, and Ather is undervalued as an idea. If instead the walls copy even faster than we expect, no premium electric citadel holds at all, and the category collapses back into the commons. We judge the middle path — a defensible but thinner citadel for the earliest builder — the most likely, not the only, outcome.

Premium motorcycles are the one call we will not make.

Electric has taken scooters first because the use case fits: short, urban, predictable, price-sensitive, unsentimental. Premium leisure motorcycles are the opposite, and they are the genuine open question. Much of what a Royal Enfield buyer pays for is the engine itself — the sound, the feel, the ritual — so electric may simply never take the segment as it stands. The alternative is that someone creates a new electric-leisure category that is not trying to be a Bullet but a different kind of desirable object, with its own emotional proposition. Both are plausible; we do not know which wins, and we distrust anyone who claims to. Our framework would be wrong to treat this as closed: if a maker builds genuine emotional desirability into an electric leisure machine — a new sound, a new ritual, a new identity — the segment could open into a citadel we have not modelled. Royal Enfield's own Flying Flea is a hedge against exactly this uncertainty. This is the category to watch, not to call.

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Likely temporary — fades	Likely structural — decides the games
Early-mover timing; novelty features	Distribution and service depth — wins the commons, as always
Subsidy (main 2W incentive ends March 2026)	Balance-sheet endurance — funds the cost war; start-ups cannot
Aggressive price leadership	Battery cell scale — the new cost lever, likely favouring incumbents
A head start on software (copies over a year or two)	Brand, resale and an owned category — the citadel wall
	Network effects: charging, swaps, software lock-in — new, and worth watching

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CHAPTER 7

Three Ways It Could Resolve, and What Would Prove Us Wrong

The map gives three clean scenarios, not a fog of possibilities. Each turns on the same fork: does electric stay sustaining, or does the battery layer make it truly disruptive? We give our probabilities, and we are explicit that the bear case is the framework's falsification, not a decorative caveat.

Base case — incumbents take the commons, a few creators hold the citadels. (Most likely.)

The mass market consolidates into four or five incumbents mirroring the petrol order — TVS, Bajaj, Hero, the Japanese makers — won on cost, distribution and cell scale. Ather survives as the premium citadel brand; a handful of niche creators persist or are acquired; Ola fades or is bought for its cell technology. Scooters go electric first, premium motorcycles last. This is the old pattern, refilled.

Bull case for incumbents — they take the citadels too.

Subsidy removal and a cell shake-out clear the sub-scale players. The incumbents, copying faster in electric than start-ups can fortify, replicate the premium categories before the creators can wall them off, and Royal Enfield carries its brand into electric leisure with the Flying Flea. Losses turn to profit at scale; the incumbents become larger versions of their petrol selves, owning both games.

Bear case for incumbents — the battery breaks the commons open. (This is our falsification.)

This is the case the first wave proved is possible, and it is where our framework is wrong if it is wrong. It arrives through the battery: a genuine cell breakthrough, or a battery-swapping network that decouples entry price from battery cost and builds its own lock-in, or a very well-funded outsider that assembles a new value network distribution cannot neutralise. In that world electric behaves like true disruption, a newcomer wins the commons the way Ola tried to, and the incumbent thesis fails. We judge it less likely than the base case — but we do not judge it remote, and it is precisely the battery and swapping layers we would watch to know we were wrong.

Stated plainly — the framework is wrong if…

It is worth collecting the conditions in one place. Our framework would be wrong if a newcomer took clear leadership of the entry commons on product or brand alone; if a challenger built a structurally superior battery-cost position the incumbents could not match; if battery swapping fundamentally rewrote entry economics; if software and network effects made the premium-scooter citadel far stickier than a petrol service reputation; or if a maker gave the electric leisure motorcycle a genuinely new emotional proposition and opened a citadel there. None of these is fanciful. None is our base case. We would change our mind on the evidence — and we have said what evidence.

For institutional investors. See data note and caveats. Not investment advice.

CHAPTER 8

Where the Common Premises Need Correcting

Four widely-held beliefs are partly wrong, and the two-game frame shows why — and where each still holds.

‘The early mover always wins.’ Only if the early mover creates a category and fortifies it.

Being first is worth little on its own — the first electric brands were early movers who created nothing defensible and died when subsidy ended. What is durable is category creation plus execution. Early movers who merely arrive first in someone else’s category are competed away.

‘A better product wins.’ In the citadels, yes; in the commons, it only grinds.

Product creates and defends a citadel. But in the commons a better product moves share slowly and does not reset the fight — Honda took fifteen years and still trails Hero. Cost and distribution win the commons, not refinement. Both beliefs are half-true, and knowing which half applies where is the whole point.

‘If it is easy to copy, it is not a moat.’ Wrong — the moat was rarely the product.

Every enduring category was built on an easily-copied product. The moat is the ecosystem of switching costs — resale, service, financing, familiarity, community — that compounds around the creator. Copying the bike does not copy the ecosystem. The genuine risk in electric is narrower and real: software-based ecosystems may copy faster than service-based ones did, which is why the electric citadel walls look lower.

‘Incumbents always win transitions.’ Only sustaining ones.

Incumbents won every petrol-era transition because each was sustaining. The first electric wave shows a truly disruptive shift can reset the field when incumbents are absent or slow. They won electric back because the pioneers self-destructed and because their balance sheets let them enter late and still win — not because victory was automatic. If the battery layer turns electric from sustaining to disruptive, the belief fails again.

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CHAPTER 9

Investment Implications: Buy the Two-Game Winner

The framework turns into positioning, and it should do so without a gap: prefer the maker that contests the commons and holds a citadel; be wary of the one stuck in the commons alone. Each view comes with the evidence that would change it — the same falsification discipline, applied to stocks.

Company	Rating	Commons / citadel read	What would change our view
Bajaj Auto	Outperform	Electric #2 in the commons, funded by ICE and exports; holds citadel optionality in Triumph and KTM	Losing the #2 electric slot for several quarters, or the premium bets stalling
TVS Motor	Market-Perform	Best execution, electric leader — wins the commons; valuation already reflects it	A de-rating without loss of electric leadership would make us constructive
Eicher Motors	Market-Perform	Holds the deepest citadel — but the one category electric cannot yet be called	Its 350cc grip slipping, a weak Flying Flea, or challengers taking real premium share
Hero MotoCorp	Market-Perform	A real cost moat, but only the commons, and it is draining; no citadel of its own	A genuine move up-market, or Vida reaching scale with better economics

Bajaj Auto — the only name that contests both games.

Bajaj is number two in the electric commons, funded to stay there, and holds the clearest citadel optionality in the group through Triumph and KTM. It plays both games and can pay for both, at a cheaper multiple than TVS. That is why it is our only Outperform.

TVS Motor — wins the commons, priced for it.

The best-run maker and the electric leader; the commons is its game and it is winning it. Market-Perform reflects valuation, not doubt. We turn more constructive on any pullback that leaves its electric leadership intact.

Eicher Motors — holds the citadel electric cannot yet price.

Buy the deepest brand moat in two-wheelers and the best margins in the industry. The risk is specific: Eicher's citadel is premium leisure motorcycles, the one category where the engine is the point, and where electric is a genuine open question. The brand survives; the desirability the engine supplied has to be re-created. The moat is safe for years; watch the Flying Flea from 2027.

Hero MotoCorp — a real moat on draining ground.

Hero's cost advantage is genuine, but it holds only the commons, and that ground shrinks as buyers move up. Honda takes its commuter share; the battery cell resets the cost equation it has always won; and it owns no citadel of its own. Its best premium and electric exposure may be its stake in Ather. We need evidence — a real move up-market or a scaled Vida — before upgrading.

The four things to watch, in order.

∑ Service and quality, not headline share. The Ola lesson, and the commons rule. Complaint volumes, service density and resale values tend to lead share by about a year.

∑ Cell localisation. The new cost lever. Whoever brings domestic cell capacity online cheapest gains the commons edge; track the milestones — and watch for any challenger that breaks the incumbents' cell-cost assumption, because that is our bear case arriving.

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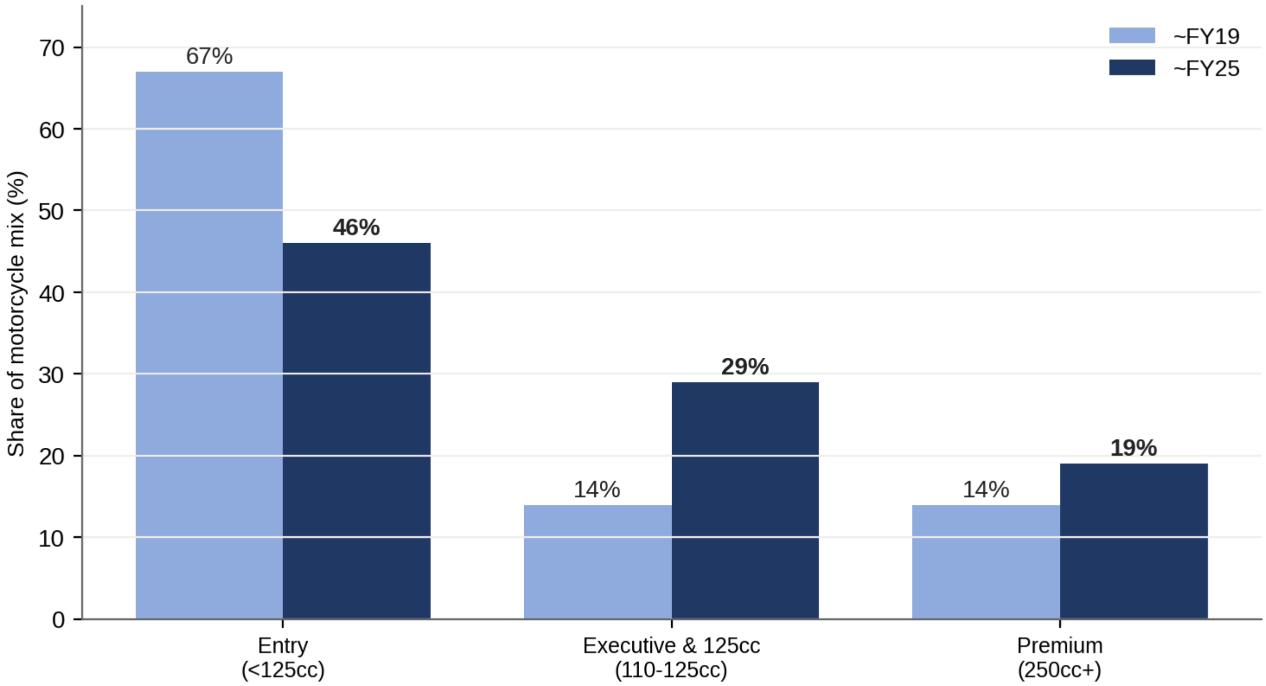
- The first post-subsidy months (after March 2026). The cleanest read on how much electric demand is structural rather than subsidised — and the cleanest test of our claim that the incumbent recovery is real.
- The premium electric motorcycle — the Flying Flea and its rivals. The one category that could still surprise, in either direction.

Exhibit 6.

Value is migrating from the commons to the citadels: the entry segment is shrinking while executive and premium bikes grow — draining Hero's ground and feeding the creators'.



Source: Bernstein synthesis of SIAM/FADA data; segment definitions vary and figures are indicative. See data note.

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DATA NOTE AND CAVEATS

Hard data versus channel intelligence. Volume and share figures from Vahan registrations, SIAM, FADA and company filings are hard data. Statements about intentions, internal budgeting and field colour are softer channel intelligence, and are flagged as such. We keep the two separate on purpose.

The commons/citadel frame is analytical, not a data series. It is our way of organising the evidence, and segment boundaries are not always clean. The Honda share history in Exhibit 2 runs to FY19 and is used to make a structural point, not to describe the current month.

Monthly electric shares are volatile. The top two electric slots have changed hands repeatedly between Bajaj and TVS, and single-month figures move several points. Where we cite a single month, it illustrates structure, not precise share.

Forward-looking items are estimates. Scenario probabilities, cost-parity timing, cell-capacity targets and the premium-motorcycle question are judgements, not established facts. Company targets have been revised repeatedly and should be treated with caution.

The central thesis carries genuine uncertainty, and we have tried to say so in the body rather than bury it here. That electric is sustaining for the commons and disruptive only at the citadels' edges rests on roughly two years of incumbent recovery. It is our most probable path, not a certainty. The explicit conditions that would prove it wrong are set out in Chapters 6 and 7, and the battery and swapping layers are the credible routes to a different outcome.

Not investment advice. This note is a structural framework for institutional investors. Ratings reflect the covering analyst's house framework. It is not personalised investment advice, and readers should form their own view.

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